

The Section 8 Investor's Playbook

How the HUD Housing Choice Voucher program actually works for landlords — from getting paid and passing inspection to financing, finding tenants, and managing the rental.

CHAPTER 01

How Section 8 Pays Landlords: From Listing to First Check

"Section 8" pays you through two separate streams: a government subsidy paid by your local Public Housing Authority (PHA) on behalf of HUD, plus a smaller portion paid by the tenant. The subsidy half is the part landlords like most, because it lands by direct deposit on a predictable schedule regardless of whether the tenant had a rough month.

But none of that money moves until a specific sequence is finished: the tenant brings a voucher, you both submit paperwork, the PHA approves the rent, and the unit passes inspection. This chapter walks the whole pipeline in order, so you know exactly what has to happen before the first check shows up and roughly how long it takes.

The big picture: two payment streams, one gate

When you rent to a voucher holder, your monthly rent (the "contract rent") gets split into two pieces. The larger piece is the Housing Assistance Payment (HAP), paid to you by the PHA that administers the program in your area. The smaller piece is the tenant's share, which the tenant pays you directly, just like any other renter.

It's worth being precise about who pays: HUD funds the program, but your local PHA is the entity that administers it and actually sends you the HAP. So you're contracting with, and getting paid by, the PHA, not HUD directly.

The single most important thing to understand is that there is a gate in front of both streams. No HAP is paid for any period before the unit passes inspection and the HAP contract takes effect. Get the unit through that gate cleanly and the payments become some of the most reliable rent in the business.

Step 1: List the unit, the tenant brings the voucher, and you submit the RFTA

The program is tenant-based, which means the voucher follows the renter, not your building. So the process usually starts when a voucher holder finds your listing and applies. You market the unit normally; many PHAs and third-party sites also let you list specifically to voucher holders. (Whether a landlord can decline an applicant simply for using a voucher depends on local source-of-income law, which exists in many states and cities but is not universal. Check your jurisdiction.)

Once you've selected a voucher holder, the key document is the Request for Tenancy Approval (RFTA). You and the tenant complete it together and submit it to the PHA, along with a copy of your proposed lease. The RFTA tells the PHA the address, the rent you're asking, who pays which utilities, and the unit's size and type.

Submitting the RFTA is what kicks off the PHA's review. From here, two things have to clear before money flows: the rent has to be approved, and the unit has to pass inspection.

Step 2: Payment standard vs. contract rent (how the rent gets approved)

This is where most landlords get confused, so it's worth slowing down. There are three different numbers in play, and they are not the same thing.

The Fair Market Rent (FMR), or the Small Area FMR (SAFMR) in ZIP-code-priced metros, is a HUD-published baseline rent for an area. From that, the PHA sets its payment standard, typically in a range of 90 to 110 percent of the FMR/SAFMR. The payment standard is not your rent. It is the cap the PHA uses to calculate how much subsidy it will contribute.

Your actual rent is the contract rent, which is the amount you and the tenant agree to, subject to a PHA "rent reasonableness" check that compares it to comparable unassisted units nearby. You can rent at, above, or below the payment standard. If your contract rent comes in above the payment standard, the subsidy is still capped at the standard and the tenant covers the extra (with a guardrail: at initial lease-up the tenant's total share generally can't exceed 40 percent of their adjusted monthly income).

For investors, the practical takeaway is to target markets and ZIPs where the payment standard sits high relative to your acquisition cost and operating expenses. That's exactly the SAFMR-by-ZIP data CloseHound surfaces, so you can screen for areas where voucher rents pencil out before you ever submit an RFTA.

Step 3: The inspection gate (HQS / NSPIRE)

Before any HAP is paid, the unit must pass a PHA inspection. HUD has been transitioning the inspection standard from Housing Quality Standards (HQS) to the newer NSPIRE standard (which HUD is phasing into the voucher program on a PHA-by-PHA timeline), so you'll see it referred to as HQS or NSPIRE depending on your PHA. Either way, the inspector is checking that the unit is decent, safe, and sanitary, working smoke and carbon-monoxide detectors, no exposed wiring, functioning heat, no major hazards, and so on.

This is the real bottleneck in the whole timeline. Scheduling the inspection and getting an inspector out is what usually determines whether your first check arrives in two weeks or eight. If the unit fails on a fixable item, you correct it and the PHA reinspects; payments simply don't start until it passes.

The practical move is to pre-inspect your own unit against an HQS/NSPIRE checklist before the PHA shows up, so you pass on the first visit. A failed re-inspection later in the tenancy can also cause the PHA to abate (pause) the HAP until you cure the problem, so it pays to keep the unit inspection-ready year-round.

Step 4: The HAP contract and how the rent splits

Once the rent is approved and the unit passes inspection, two documents get signed: your lease with the tenant, and the HAP contract between you and the PHA. The HAP contract has an effective date, and that date is the key to getting paid, because the PHA cannot pay HAP for any period before it.

From there the rent splits. The tenant's share is anchored to roughly 30 percent of their adjusted monthly income (the exact figure depends on income, utility allowances, and how your rent compares to the payment standard). The PHA pays you the rest as the HAP. So if the approved contract rent is, say, \$1,500 and the tenant's calculated share is \$300, you'd collect \$300 from the tenant and \$1,200 in HAP

from the PHA.

The HAP portion comes by direct deposit on a regular monthly cycle, and it arrives regardless of the tenant's personal finances that month, which is the stability landlords value. You still collect the tenant's share directly from the tenant and enforce it like any other rent obligation under your lease.

Step 5: When the first check arrives, and what keeps it coming

Realistically, plan on roughly two to eight weeks from RFTA submission to your first HAP deposit, and understand that this varies by PHA. Inspection scheduling is the usual driver. The first payment is typically retroactive to the HAP contract's effective date, but that date can't precede the day the unit passed inspection, so a slow inspection both delays and shortens any back pay.

After that, the HAP is one of the more dependable rent streams you can underwrite, but it isn't unconditional forever. It can be abated on a failed re-inspection, adjusted at the tenant's annual recertification (when income changes shift the split between the tenant's share and the HAP), or end if the tenant loses or moves their voucher. None of these are common surprises if you keep the unit compliant and communicate with your PHA.

One financing note worth knowing: because HAP is documentable, contractual income from a government agency, lenders generally count it, which is especially useful when qualifying a DSCR loan on the property. A signed HAP contract plus payment records is exactly the kind of stable income a debt-service-coverage underwriter wants to see.

FAQ

Does HUD pay me directly, or does the tenant?

Both, in two pieces. Your local PHA (administering HUD's program) pays the larger Housing Assistance Payment by direct deposit on a monthly schedule, and the tenant pays their smaller share to you directly. The PHA portion arrives regardless of the tenant's personal finances, as long as the HAP contract is in force and the unit stays compliant.

Is the payment standard the rent I'll receive?

No. The payment standard (usually 90-110% of the area FMR/SAFMR) is only the cap the PHA uses to calculate its subsidy. The rent you actually receive is the contract rent you negotiate, subject to a rent-reasonableness check. If your rent exceeds the payment standard, the tenant covers the difference, capped at 40% of their adjusted income at initial lease-up.

When will I get my first check?

Typically about two to eight weeks after you submit the RFTA, though it varies by PHA. The biggest variable is how quickly the inspection gets scheduled and passed. The first payment is usually retroactive to the HAP contract's effective date, but that date can't be earlier than the day the unit passed inspection, so no HAP accrues for any period before the unit passes.

What happens if my unit fails the inspection?

You fix the cited items and the PHA reinspects. No HAP is paid until the unit passes, so a failed first inspection delays your first check. The standard is HQS or the newer NSPIRE, depending on your PHA. Pre-inspecting against a checklist (working detectors, heat, no hazards) before the PHA arrives is the simplest way to pass on the first visit.

Can I use HAP income to qualify for a loan?

Generally yes. HAP is documentable, contractual income paid by a government agency, so lenders typically count it, which is particularly helpful for DSCR loans where the property's income drives qualification. Keep your signed HAP contract and payment history handy as proof of the income stream.

CHAPTER 02

The Section 8 Inspection Checklist (HQS / NSPIRE)

Before a single Housing Assistance Payment (HAP) hits your account, the unit has to pass a physical inspection ordered by the Public Housing Agency (PHA). This is the gate between an approved tenant and a signed contract. Fail it, and your lease-up stalls for weeks while you wait on a re-inspection slot. Pass it on the first visit and you start collecting rent that much sooner.

The good news: the inspection is predictable. It checks basic health and safety, not finishes or style. A clean, structurally sound unit with working systems and a few cheap safety items installed will almost always pass. This chapter gives you the concrete pass/fail items inspectors actually look at, what fails most often, and how to prep so you clear it the first time.

HQS vs. NSPIRE: which standard applies to your unit

HUD has been transitioning Housing Choice Voucher inspections from the long-standing HQS (Housing Quality Standards) to the newer NSPIRE standard (National Standards for the Physical Inspection of Real Estate); the rollout for the voucher program has been phased and PHAs adopt on different timelines, so depending on your PHA and timing you may encounter either — both verify the unit is decent, safe, and sanitary.

What that means on the ground: your PHA may still be inspecting under HQS, or it may have adopted NSPIRE protocols. The two standards check the same fundamentals, but NSPIRE leans harder on what's inside the unit (where tenants actually live) and sorts problems by severity, with life-threatening deficiencies (an inoperable smoke or carbon-monoxide alarm, exposed live wiring, a gas leak, a blocked exit) carrying a fast correction deadline.

Practical takeaway: prep your unit to the NSPIRE bar, since that's the direction the program is heading and it's the stricter target. But confirm with your specific PHA which standard and forms they're using right now, since it varies by agency and timing. The hands-on checklist below passes under both standards, so you don't have to guess.

The core pass/fail checklist

This is what an inspector walks through. Treat every line as pass or fail and you'll catch most problems before they cost you a trip.

Life-safety and detectors: working smoke alarms as required by current code/NSPIRE — typically inside each bedroom, outside each sleeping area, and on every level — and a working carbon-monoxide alarm wherever required (units with fuel-burning appliances, gas heat, or an attached garage). Newer federal smoke-alarm rules also require hardwired or sealed 10-year tamper-resistant battery alarms in many units, and the exact spec can vary during the HQS-to-NSPIRE transition, so confirm placement and type with your inspector and local code. Carbon-monoxide alarms are a hard requirement where

applicable, not a nice-to-have — test every alarm and replace dead batteries before the inspector arrives.

Electrical: every room needs at least one working, properly grounded outlet and one permanent light fixture or switched outlet. Outlets and switches need cover plates (no missing or cracked plates). GFCI protection near water — kitchens, bathrooms, laundry, exterior — is emphasized under NSPIRE and modern electrical standards but was inconsistently enforced under legacy HQS, so treat it as a NSPIRE-era expectation and confirm with your PHA. No exposed wiring, no open junction boxes, no double-tapped or visibly damaged panel, no extension cords standing in for permanent wiring.

Heat and hot water: a permanent, adequate heat source that warms every living space — a portable space heater as the only heat source is an automatic fail. Hot and cold running water, and a functioning water heater with a properly installed temperature-and-pressure (TPR) relief valve and a discharge pipe that runs down toward the floor. A missing or wrong-way TPR discharge pipe is one of the most common fails inspectors write up.

Doors, windows, and security: exterior doors must be solid, weather-tight, and lock. Every window that's designed to open must open, stay open, and lock; broken glass, painted-shut, or missing sash locks fail. Windows accessible from outside need working locks.

Structure and surfaces: handrails on any stairway with four or more steps and guardrails on elevated porches/landings; no chipping, peeling, or deteriorated paint (a special concern in pre-1978 buildings); no active leaks, no standing water, no visible mold, no major holes in walls/ceilings/floors. Plumbing fixtures must drain and not leak; the toilet, tub/shower, and sink must all work.

What fails most often — and how to prevent it

The same handful of items sink most inspections, and almost all of them are cheap to fix in advance. Walk the unit a week before the inspection with this short list and you'll dodge the usual re-inspection.

Top repeat offenders: dead or missing smoke/CO alarms (test and replace batteries); missing or cracked outlet and switch cover plates (a few dollars each); a water-heater TPR valve with no discharge pipe or a pipe pointing the wrong way; missing handrails on stairs; chipping or peeling paint, especially on porches, window sills, and trim in older homes; windows that won't open, won't stay open, or won't lock; and a stove burner or oven that doesn't light.

Less obvious but common: a missing range hood or non-working exhaust where required, a leaking trap under a sink, a loose or wobbly toilet, a torn window screen where screens are required, an exterior door that doesn't latch securely, and clutter or stored items blocking an exit or the electrical panel. Inspectors need clear access to utilities and exits.

Prep habit that saves trips: run every faucet, flush the toilet, test every burner, flip every switch, open and lock every window, and press the test button on every alarm. If you can fix it with a trip to the hardware store, fix it now — re-inspections cost you weeks of rent, not minutes of labor.

Inspection day, re-inspection, and your rent timeline

Once your approved tenant submits the Request for Tenancy Approval (RFTA) packet, the PHA schedules the inspection. The unit should be vacant-ready or close to it: utilities on (an inspector

generally can't verify heat, water, or electrical with the power off), unit clean and accessible, and your safety items already installed. A unit with the power off usually gets failed or rescheduled outright.

If the unit passes, the PHA moves to approve the rent and execute the HAP contract, and your assistance payments begin. Note that HAP cannot begin before the unit passes inspection: payments run from the lease/contract effective date, which the PHA will not set earlier than the date the unit passed — confirm the start date with your PHA. Note too that the inspection and the rent-reasonableness determination are separate steps: passing the inspection proves the unit is safe, but the PHA still has to approve the rent amount on its own.

If the unit fails, the inspector lists the deficiencies and the PHA sets the correction window based on the deficiency's severity — life-threatening items may require a fix within 24 hours, while others get a longer window. Don't assume a fixed number: confirm the exact deadline on the failure notice with your PHA. Fix everything on the list, request the re-inspection, and pass. Until the unit passes, the HAP contract can't be signed and no assistance is paid, so first-time pass rate maps directly to how fast you get paid.

If you operate across multiple PHAs or markets, build a standard pre-inspection punch list and run it on every unit before you ever call for the inspection. The cost of a smoke alarm, a cover plate, and a TPR discharge pipe is trivial next to a month of vacancy waiting on a re-inspection slot.

Checklist

' **Smoke alarms as required by code/NSPIRE — inside each bedroom, outside each sleeping area, on every level**

Press the test button on each one. Newer federal rules require hardwired or sealed 10-year tamper-resistant battery alarms in many units; the exact spec varies during the HQS-to-NSPIRE transition, so confirm placement and type with your inspector. Replace dead batteries and any alarm past its expiration date before inspection day. PASS = every alarm sounds when tested.

' **Working carbon-monoxide alarm where required**

Required in units with gas/fuel-burning appliances or an attached garage. This is a hard requirement where applicable — test it and confirm it sounds. The federal CO requirement follows International Fire Code standards for placement (e.g., outside each separate sleeping area in the immediate vicinity of bedrooms), so match alarm location to code, not guesswork. FAIL = missing or non-functioning CO alarm.

' **No chipping, peeling, or deteriorated paint (lead concern pre-1978)**

Check porches, window sills, trim, and door frames. Stricter lead-safe handling applies in pre-1978 units, especially when a child under 6 will live there. PASS = surfaces intact, no flaking paint.

' **Every outlet and switch works and has a cover plate**

At least one working, grounded outlet per room; no missing or cracked cover plates; GFCI protection near water (kitchen, bath, laundry, exterior) is a NSPIRE-era expectation, inconsistently enforced under legacy HQS, so confirm with your PHA. FAIL = open junction box, exposed wiring, or extension cord used as permanent wiring.

' **Each room has a permanent light source**

A ceiling/wall fixture or a switched outlet in every living space. PASS = the light or switched outlet works.

' **Windows open, stay open, and lock**

Every openable window must operate and have a working lock; no broken glass or painted-shut sashes. FAIL = window won't open, won't stay up, or won't lock.

' **Exterior doors are solid, weather-tight, and lock**

Each entry door must close, latch, and lock securely. PASS = door seals and the deadbolt/lock engages.

▪ **Permanent, adequate heat in every living space**

A space heater as the sole heat source is an automatic fail. PASS = built-in heat reaches all rooms and runs at inspection.

▪ **Hot and cold running water with a working water heater**

Confirm hot water at the tap and a properly installed TPR relief valve with a discharge pipe running down toward the floor. FAIL = no hot water, or missing/wrong-direction TPR discharge pipe.

▪ **No exposed or unsafe wiring**

No bare wires, open boxes, double-tapped breakers, or damaged panel. Keep the electrical panel clear and accessible. FAIL = any exposed live wiring.

▪ **Handrails on stairs (4+ steps) and guardrails on elevated areas**

Secure handrail on any stairway of four or more steps; guardrails on raised porches and landings. FAIL = missing or loose rail.

▪ **No major leaks, standing water, or visible mold**

Check under sinks, around the tub/shower, ceilings, and the basement. Fixtures must drain and not leak. FAIL = active leak, water damage, or visible mold.

▪ **Plumbing fixtures all function**

Toilet flushes and is secure; tub/shower and sinks run and drain; no continuous running or loose toilet. PASS = every fixture works and drains.

▪ **Utilities on and unit accessible on inspection day**

Power, water, and gas must be on so the inspector can test heat, hot water, and electrical. A unit with utilities off is typically failed or rescheduled. PASS = all systems live and rooms/exits/panel clear.

FAQ

Is the Section 8 inspection HQS or NSPIRE in 2026?

It depends on your PHA and timing. HUD has been transitioning Housing Choice Voucher inspections from the long-standing HQS to the newer NSPIRE standard, but the rollout for the voucher program has been phased and PHAs adopt on different timelines, so depending on your PHA you may encounter either — both verify the unit is decent, safe, and sanitary. Some PHAs already use NSPIRE protocols; others still inspect under HQS. The practical checklist is nearly identical under both, so prep to the NSPIRE bar and confirm your PHA's current forms and standard.

What fails a Section 8 inspection most often?

The usual culprits are cheap to fix: dead or missing smoke/CO alarms, missing or cracked outlet cover plates, a water-heater TPR valve with no proper discharge pipe, missing stair handrails, chipping or peeling paint in older homes, and windows that won't open, stay open, or lock. Most of these are a single hardware-store trip, which is why a quick pre-inspection walk-through pays for itself.

Do I have to fix everything before the tenant moves in?

Yes. The unit must pass the inspection before the PHA signs the HAP contract, and no assistance is paid until it passes. If the unit fails, the PHA sets the correction window based on the deficiency's severity — life-threatening items may require a fix within 24 hours, while others get a longer window. Don't assume a fixed number; confirm the timeline on the failure notice with your PHA, fix the listed items, then request a re-inspection.

How long does a re-inspection take to schedule?

That varies by PHA and local inspector workload, and it's the main reason a failed inspection hurts: you can lose weeks of rent waiting for a re-inspection slot while the unit sits vacant and unpaid. The cheapest way to

protect your timeline is to pass the first time by running a pre-inspection punch list before you ever call the PHA.

Does passing the inspection mean my rent is approved?

No. The physical inspection and the rent-reasonableness determination are separate steps. Passing the inspection proves the unit is safe and habitable, but the PHA still has to approve the rent amount on its own before the HAP contract is finalized. You can screen markets and target rents that are likely to clear the PHA's reasonableness review with CloseHound before you commit to a unit.

CHAPTER 03

Financing a Section 8 Rental: Loans, DSCR, and HAP Income

Financing a Section 8 rental works the same way as financing any other buy-and-hold property — with one quiet advantage. A portion (often the majority) of your rent arrives every month as a Housing Assistance Payment (HAP) from the local public housing authority (PHA), backed by a written HAP contract. That is documentable, predictable, government-funded income, and the right lender will treat it as exactly that.

This chapter walks through the loan products investors actually use — DSCR, conventional, FHA house-hacking, and portfolio loans — and how voucher income strengthens your file in each. None of this is legal or lending advice, and exact rates, down payments, and reserve requirements vary by lender and program. Confirm specifics with your loan officer before you write an offer.

HAP voucher income IS lender-countable income

The single most useful financing fact about Section 8 is that the HAP payment counts. Under the Housing Choice Voucher program, the PHA signs a HAP contract with you (the owner) and pays its share of the rent directly to you each month, usually by ACH. The tenant pays the remainder. Because that PHA portion is contractual and paid by a government agency, lenders can and do treat it as documentable rental income.

What underwriters typically want to see is proof the income is real and durable: the executed HAP contract, the lease, and bank statements or deposit records showing the PHA payments actually landing. On a property you already own, a year of consistent HAP deposits is strong evidence. On a purchase, the HAP contract and lease assigned at closing, plus the appraiser's market-rent opinion, do the work.

Two practical notes. First, the voucher amount is capped by the PHA's payment standard and the unit's reasonable rent, so don't assume the HAP covers 100% of a high asking rent — it may cover most of a market-reasonable rent. Second, this same documentable income is what makes voucher rentals attractive to DSCR lenders, covered below.

DSCR loans: qualify on the property, not your paystub

A DSCR (Debt-Service Coverage Ratio) loan qualifies the deal on the property's cash flow rather than your personal income or DTI. The lender divides the property's gross rent by its monthly debt service (principal, interest, taxes, insurance, and any HOA). A ratio of 1.0 means rent exactly covers the payment; most DSCR lenders want to see roughly 1.0–1.25 or higher, though thresholds vary by lender.

Section 8 is a natural fit here because the rent figure DSCR underwriting cares about is more reliable. A meaningful slice of your rent is the HAP — a contractual payment from a government agency — which reduces the vacancy-and-collection guesswork that makes some lenders nervous. Lenders typically

size the qualifying rent off the lower of the actual lease (HAP + tenant portion) or the appraiser's market-rent opinion (the 1007 rent schedule).

DSCR loans are the workhorse for investors who are self-employed, write off a lot of income on their taxes, or simply want to keep personal DTI free for the next deal. Expect business-purpose terms: down payments commonly in the 20–25% range, reserves, and rates a bit above owner-occupied loans. These can usually be held in an LLC, which many investors prefer for liability separation. Exact terms vary widely by lender — shop more than one.

Conventional loans for 1–4 unit investments

Conforming conventional loans (sold to Fannie Mae or Freddie Mac) remain a low-cost option for 1–4 unit investment properties, and a Section 8 tenant does not disqualify you. The lender qualifies you on full documentation — income, credit, and debt-to-income — so this path works best when your personal income comfortably supports the new payment.

On a 1–4 unit investment purchase, the appraiser typically provides a market-rent schedule, and a percentage of that rent can be counted toward qualifying income. If the unit is already leased to a voucher holder, the HAP contract and lease document the actual rent. Investment-property down payments are generally higher than owner-occupied — commonly around 15% or more for a single unit and often higher for 2–4 units — and pricing carries investment-property adjustments.

The main constraint is volume: Fannie Mae caps the number of financed properties an individual borrower can have (commonly cited as up to 10), and qualification gets stricter as you add doors. Investors scaling past that ceiling usually move to DSCR or portfolio products.

FHA + house-hacking: live in one unit, rent the rest

FHA financing is built for owner-occupants, which makes it a powerful entry point if you're willing to live in the property. Buy a 2–4 unit building, occupy one unit as your primary residence, and rent the others — including to Housing Choice Voucher tenants. FHA's low down payment (3.5% with qualifying credit) lets you control a small multifamily for far less cash than an investment loan requires.

This 'house-hacking' approach has two Section 8 benefits. The voucher tenants in your other units provide steady, partly government-backed rent that can offset most or all of your housing cost, and that projected rental income can sometimes help you qualify. FHA also lets the appraiser document market rents on the non-owner units, and self-sufficiency rules on 3–4 unit FHA purchases can actually require the rents to support the property.

Two caveats. FHA requires you to genuinely occupy a unit (typically for at least a year), so this is a strategy for investors at the live-in stage, not a way to finance a pure rental. And the property must meet FHA's minimum property standards at appraisal — a separate bar from the PHA's HQS/NSPIRE inspection your voucher unit must also pass before the HAP begins.

Portfolio and blanket loans for scaling doors

Once you outgrow conventional limits, portfolio lenders and blanket loans become the tools for growth. A portfolio lender keeps the loan on its own books instead of selling it to Fannie or Freddie, so it writes its own rules — which often means flexibility on the number of properties, LLC ownership, and

qualifying on cash flow rather than personal DTI.

A blanket loan wraps multiple properties under a single mortgage and payment, which simplifies bookkeeping when you own several voucher rentals and want one closing instead of ten. Watch for a 'release clause' so you can sell an individual property out of the blanket without unwinding the whole loan. Commercial and small-balance multifamily lenders fill a similar role for 5+ unit buildings, where loans move to commercial underwriting regardless of tenant type.

Across all of these, the Section 8 advantage is consistent: documentable, contractual HAP income makes the rent roll easy to verify and underwrite. Strong, screened markets and deals make the cash-flow case even cleaner — screening voucher payment standards and rent-to-price math on CloseHound before you make an offer helps you bring lenders a deal that pencils.

FAQ

Do lenders count Section 8 (HAP) income when I apply?

Yes. The HAP payment is a contractual amount the public housing authority pays you directly under a written HAP contract, so it's documentable, lender-countable rental income. Underwriters typically verify it with the HAP contract, the lease, and bank records showing the PHA deposits. On DSCR loans especially, this government-backed portion makes the rent figure more reliable. Lenders usually qualify off the lower of the actual lease or the appraiser's market-rent opinion.

Can I use a DSCR loan on a Section 8 rental?

Yes, and it's a common pairing. A DSCR loan qualifies the deal on the property's rent-to-debt ratio instead of your personal income, and the HAP portion of the rent is contractual government-funded income, which strengthens the cash-flow case. Most DSCR lenders want a ratio around 1.0–1.25 or higher and down payments in the 20–25% range, but terms vary — compare several lenders.

Can I use an FHA loan and still rent to voucher tenants?

Yes, if you occupy one unit. FHA is for owner-occupants, so the play is to buy a 2–4 unit building with a low down payment (3.5% with qualifying credit), live in one unit, and rent the others to Housing Choice Voucher tenants. You generally must occupy your unit for at least a year, and the property must pass FHA's appraisal standards in addition to the PHA's HQS/NSPIRE inspection on the voucher units.

Does a Section 8 tenant make it harder to get a mortgage?

No. For conventional, DSCR, FHA, and portfolio loans, a voucher tenant doesn't disqualify the property — if anything, the contractual HAP payment makes the income easier to document. The usual qualification factors (your income or the property's cash flow, credit, reserves, and down payment) drive approval, not the tenant's voucher status.

How much down payment do I need for a Section 8 rental?

It depends entirely on the loan type, not the voucher. FHA owner-occupied house-hacking can be as low as 3.5% down. Conventional investment loans commonly start around 15% for a single unit and run higher for 2–4 units. DSCR loans typically want 20–25% down. These are general ranges — your lender's exact requirement depends on credit, reserves, property type, and program, so confirm before you make an offer.

CHAPTER 04

Finding and Screening Section 8 Tenants the Right Way

A Section 8 unit only performs if you fill it with a qualified, stable tenant. The good news for landlords: voucher holders are an active, motivated renter pool, and there are dedicated channels for reaching them that ordinary rentals never see. The catch is that screening a voucher tenant works differently than screening a market-rate applicant, and a handful of fair-housing rules can turn a routine denial into a legal problem if you do not know them.

This chapter covers both halves of the job: where to find voucher tenants (your local Public Housing Authority, the voucher-focused listing marketplaces, and PHA landlord portals) and how to screen them legally. You can still set and enforce real standards. You just have to apply them the right way, and know whether your state or city protects a tenant's source of income before you ever say no to a voucher.

Where voucher tenants actually look for housing

Voucher holders do not search the same way market-rate renters do. Many are working against a deadline (a voucher typically has to be used within a set window, often around 60 to 120 days, extendable at the PHA's discretion), and they tend to start with channels that filter for landlords who accept the program. Meet them where they already are.

The big three to know: AffordableHousing.com (formerly GoSection8) and similar PHA and marketplace listing sites, the largest of which is free for landlords to list on; the listing site your local Public Housing Authority runs or partners with; and general sites like Zillow and Apartments.com, where you can mark a listing as accepting Housing Choice Vouchers. Many PHAs steer their tenants to a specific partner platform, so ask which one your local agency uses.

Your PHA is also a direct source. Most agencies maintain a landlord portal and a list of available units they share with voucher holders, and some run a landlord liaison or outreach staffer whose entire job is connecting owners with tenants. Registering as a participating landlord, listing your unit, and getting on the PHA's radar costs nothing and routes pre-qualified, voucher-in-hand renters straight to you. Word of mouth matters too: voucher tenants talk, and a landlord with a reputation for treating the program professionally gets referrals.

Why screening a voucher tenant is different

The single biggest shift: the math on ability to pay. With a market-rate applicant you typically want gross income of roughly 2.5 to 3 times the rent. That ratio does not translate to a voucher tenant, because the Housing Assistance Payment (HAP) from the PHA covers the large majority of the rent and is paid directly to you. The tenant is usually responsible only for their portion, which the PHA caps so it stays affordable relative to their income.

So instead of asking 'can this person afford the full rent,' you screen for 'can this person reliably cover their portion and be a good tenant.' Verify the tenant portion the PHA has calculated (it appears on the voucher and the proposed lease paperwork), then assess their ability to pay that smaller amount, not the headline rent. A tenant whose income looks thin on paper for a market unit can be a perfectly solid payer once the voucher is doing most of the work.

The other difference is rent-up timing and inspection. A voucher lease cannot start until the unit passes the PHA's inspection and the agency approves the rent. HUD has been transitioning these inspections from the long-standing HQS (Housing Quality Standards) to the newer NSPIRE standard, but the rollout for the voucher program has been phased and PHAs adopt on different timelines, so depending on your PHA you may encounter either — ask your PHA which standard it currently uses. Build that lag into your expectations so you are screening tenants you can actually house on a realistic timeline.

What you can legally screen for

Accepting a voucher does not mean accepting any voucher holder. You retain the right to set and enforce your own tenant-selection criteria, as long as they are applied consistently to every applicant and do not screen out protected classes. Voucher tenants are screened by you, the owner, the same as anyone else; the PHA determines program eligibility, not tenant quality.

Fair game, when applied evenly: rental history and prior landlord references; verified prior evictions (judgment records, not rumor); ability to pay the tenant's portion of the rent; and criminal history, within limits. Many landlords also weigh stable rental references and on-time payment history more heavily than a thin or bruised credit file, since the voucher de-risks the bulk of the rent. That is a reasonable, defensible posture.

Criminal history is the area with the most legal exposure. HUD and fair-housing guidance are clear that blanket bans on anyone with a record can violate the Fair Housing Act because of disparate impact. Arrest records (as opposed to convictions) generally cannot be the basis for a denial at all. The defensible approach is an individualized assessment: look at the nature and severity of the offense, how long ago it occurred, and evidence of rehabilitation, rather than a flat 'no record, period' rule. Document your criteria in writing, apply them to every applicant, and keep records of why you accepted or denied.

Two practical guardrails. Charge application and screening fees the same way you would for any applicant (do not single out voucher holders), and keep a consistent written checklist so two applicants in the same situation get the same decision. Consistency is your best defense if a denial is ever questioned.

Source-of-income law: the rule that changes everything

Here is the legal fork in the road. The federal Fair Housing Act does not list 'source of income' or 'voucher status' as a protected class. It protects race, color, religion, sex (which HUD interprets to include gender identity and sexual orientation), disability, familial status, and national origin. So at the federal level, refusing a tenant simply because they hold a voucher is not itself a fair-housing violation.

But many states and cities have passed their own source-of-income (SOI) protection laws that make it illegal to refuse a tenant, or to advertise 'no Section 8,' because they intend to pay with a voucher. These laws cover a large share of voucher holders, but they are NOT universal. Roughly half the

country has some form of SOI protection at the state, county, or city level, and the patchwork keeps changing, including a notable 2026 New York appellate ruling that unsettled the statewide law while New York City's own protection stayed in place. Florida and Georgia have historically had no statewide SOI protection, though individual cities or counties within them sometimes do. Texas is different: state law preempts local source-of-income ordinances (with a narrow veteran/VASH exception), so Texas localities generally cannot enact enforceable Section 8 SOI protection.

The practical rule: before you decline a voucher or write 'no vouchers' in a listing, check whether your state, county, or city has an SOI protection law. If it does, you generally must treat a voucher applicant like any other applicant and screen them on neutral criteria (the items in the section above), not on the fact that they use a voucher. If it does not, you have more discretion, but you still cannot use 'no Section 8' as a cover for declining someone on the basis of race, disability, familial status, or any other federally protected characteristic. This chapter is general education, not legal advice; confirm your local rules or consult a local attorney before setting policy.

A blunt reminder, because the cost of getting it wrong is high: never adopt or imply a screening practice that targets a protected class. 'No vouchers because most voucher holders here are [a protected group]' is illegal everywhere, SOI law or not. Screen on behavior and ability to pay, never on identity.

A practical workflow that stays compliant

Put the pieces together into a repeatable process. First, decide your stance: if you operate in an SOI-protected jurisdiction, you accept vouchers and screen everyone on neutral criteria; if you are not protected and choose to accept vouchers anyway (most landlords find the steady HAP payment worth it), still apply the same neutral criteria to all applicants.

Then source: list on AffordableHousing.com and your PHA's partner platform, mark mainstream listings as voucher-accepting, and register on your PHA landlord portal. Capture the lead, confirm the tenant has an active voucher and a unit size that fits, and check the tenant portion the PHA has set so you know exactly what the tenant is on the hook for.

Finally, screen with a written checklist applied identically to every applicant: verified rental history and references, prior eviction judgments, ability to pay the tenant portion, and an individualized criminal-history assessment within the limits above. Document each decision. Then move to the inspection and lease-up steps, since the lease cannot start until the unit passes the PHA's HQS/NSPIRE inspection and the PHA approves the rent.

Before you take on a voucher tenant, it helps to know the deal is sound to begin with. CloseHound lets you screen markets and individual properties against real HUD voucher rents (the payment-standard and small-area data that determine what the program will actually pay), so you are filling a unit whose numbers work, not one you are forcing to fit.

FAQ

Can I still reject a Section 8 applicant, or do I have to take anyone with a voucher?

You can reject voucher applicants on neutral, consistently applied criteria: poor rental references, prior eviction judgments, inability to pay the tenant portion, or a criminal history that fails an individualized assessment. What you cannot do, in a state or city with source-of-income (SOI) protection, is reject them

simply because they use a voucher, or advertise 'no Section 8.' The PHA decides program eligibility; you still decide tenant quality. Apply the same checklist to every applicant and document your decisions.

How do I check whether someone can afford the rent if the voucher pays most of it?

Do not use the usual 2.5-to-3x-rent income rule. The Housing Assistance Payment covers the majority of the rent and is paid to you directly by the PHA, so the tenant is responsible only for their portion, which the PHA caps based on their income. Screen for the tenant's ability to reliably pay that smaller portion (it appears on the voucher and lease paperwork), not the full rent. A tenant who would fail a market-rate income test can be a strong payer once the voucher is in place.

Is it legal to refuse Section 8 tenants?

It depends entirely on your location. The federal Fair Housing Act does not protect source of income, so at the federal level refusing a voucher is not automatically illegal. But many states, counties, and cities have passed SOI laws that make refusing a voucher illegal, and these now cover roughly half of all voucher holders. Florida and Georgia have no statewide protection, though cities within them sometimes do; Texas state law preempts local SOI ordinances (with a narrow veteran/VASH exception), so Texas localities generally cannot protect voucher holders. Check your specific state, county, and city before declining a voucher, and consult a local attorney if you are unsure. This is general guidance, not legal advice.

Where is the best place to list a unit for voucher tenants?

Start with AffordableHousing.com, the largest voucher-focused marketplace (it is the rebrand of GoSection8.com, renamed in 2021; the old [GoSection8](https://GoSection8.com) domain now redirects there) and free for landlords. Then list on whatever platform your local Public Housing Authority uses or partners with, and register on the PHA's landlord portal so the agency routes voucher-in-hand tenants to you. You can also mark listings on Zillow and Apartments.com as accepting Housing Choice Vouchers. Many voucher holders search these dedicated channels first because they filter for participating landlords.

Can I run a criminal background check on a voucher applicant?

Yes, but with limits. HUD and fair-housing guidance treat blanket bans on anyone with a record as a potential Fair Housing Act violation due to disparate impact, and arrest records alone generally cannot justify a denial. Use an individualized assessment instead: weigh the nature and severity of the offense, how long ago it occurred, and any evidence of rehabilitation. Put your criteria in writing, apply them to every applicant equally, and keep records of each accept or deny decision so you can show consistency if questioned.

CHAPTER 05

Managing a Section 8 Rental: The Landlord's Operating Playbook

Getting a tenant approved and the HAP contract signed is the hard part. Managing the unit afterward is mostly a matter of running a calendar and knowing how the housing authority's machinery works. The income is reliable, the paperwork is predictable, and most of the friction comes from missing a deadline or misunderstanding who pays for what.

This chapter covers the ongoing realities of a Housing Choice Voucher tenancy: annual (or longer) recertifications, periodic re-inspections under HQS/NSPIRE, how to actually get a rent increase approved, when the HAP hits your account, how you collect the tenant's share, and what the lease and HAP contract require you to do. It closes with an honest accounting of the upside and the headaches so you can decide whether Section 8 fits your portfolio.

The recurring compliance calendar: recertifications and re-inspections

Two clocks run in the background of every voucher tenancy, and both are driven by the Public Housing Agency (PHA), not by you. The first is the tenant's recertification (also called reexamination): the PHA periodically re-verifies the household's income and composition to recalculate how the rent splits between the voucher (HAP) and the tenant. Historically this happened annually. Under HOTMA reforms now rolling out, many PHAs reexamine income-based households at least every 12 months but may put fixed-income households (Social Security, pensions, SSI) on a longer cycle, with full recertification as infrequently as every three years. The exact frequency varies by PHA, so confirm yours.

Recertification matters to you because it can change the split between your two income streams. Your total contract rent usually does not change at a recert; what changes is how much comes from the HAP versus the tenant. If a tenant's income rises, the tenant's share goes up and the HAP goes down (and vice versa). You will typically get a notice when the split shifts. The total you collect stays the same unless rent itself is being adjusted separately.

The second clock is the physical inspection. HUD has been transitioning Housing Choice Voucher inspections from the long-standing HQS (Housing Quality Standards) to the newer NSPIRE standard (National Standards for the Physical Inspection of Real Estate); the rollout for the voucher program has been phased and PHAs adopt on different timelines, so depending on your PHA and timing you may encounter either — both verify the unit is decent, safe, and sanitary. Either way, expect a periodic re-inspection, commonly at least every other year (biennial), with some small rural PHAs on a longer cycle. Inspectors look at smoke and carbon-monoxide detectors, heating, no peeling paint, working windows and locks, and similar life-safety items; GFCI protection near water becomes relevant once NSPIRE applies, while under HQS the electrical checks differ. Fail it and you get a window to fix the deficiencies and pass a re-inspection.

The practical move is to inspect your own unit before the PHA does. A failed inspection can pause or abate your HAP until the fix is verified, so a quick walkthrough of detectors, outlets, and obvious

hazards a couple of weeks ahead is cheap insurance against a missed payment.

How to request a rent increase

You cannot simply raise the rent on a voucher tenant the way you would on a market tenant. A rent increase has to be requested from the PHA and approved before it takes effect, and the approval gate is one test: rent reasonableness.

The mechanics: submit a written rent-increase request to the PHA, usually on their form, with the amount of notice your lease and the PHA require. Sixty days is a common minimum, but it varies, and some PHAs want 90. You generally cannot raise rent during the initial lease term; increases take effect at or after renewal. The PHA then runs a rent reasonableness test, comparing your asking rent to unassisted, comparable units nearby (24 CFR 982.507). If your number clears the reasonableness test, it's approved, often effective on the next anniversary date.

An important distinction: the program's payment standard and SAFMR ceilings are a separate figure from the approval gate. The payment standard determines how much subsidy is paid and how the rent splits between HAP and tenant — it does not decide whether your increase is approved. You can charge a rent above the payment standard; the tenant simply absorbs the difference (subject to the initial-lease-up affordability cap, not later increases). So don't under-ask just because your number tops the payment standard.

This is where the program's biggest operational frustration lives: the rent-increase lag. Even a justified increase moves on the PHA's timeline, not yours, and a request submitted late simply rolls to the following cycle. Build the lead time into your calendar. Know your market's voucher numbers before you ask, so you request a rent that will clear the reasonableness test instead of getting bounced and losing a cycle. Screening markets on CloseHound shows you the current SAFMR ceiling by ZIP, which is the figure the PHA underwrites the subsidy against.

Getting paid: HAP timing and collecting the tenant's portion

After move-in, the housing authority pays its share, the Housing Assistance Payment (HAP), directly to you, almost always by direct deposit (ACH) and almost always near the first of the month. That payment is the reliable part of Section 8: it is government-funded, it arrives on schedule, and it does not bounce. The first HAP after a new tenancy can lag a few weeks while the PHA finishes processing, but once the cycle is established it is dependable.

Here is the single most important thing to understand, and the one investors most often get wrong: the PHA does not pay or guarantee the whole rent. It pays only the HAP portion. The tenant's portion is yours to collect, directly from the tenant, exactly like any other rent. If the tenant stops paying their share, the HAP keeps coming but the tenant balance is a debt you pursue with the normal tools, late notices, the security deposit, and, if it comes to it, eviction under the lease and your local law.

The PHA also does not cover damage beyond normal wear and tear. Take a deposit (the program allows a deposit within local limits), document condition at move-in with photos, and treat damage and unpaid tenant rent the way you would in any tenancy. The voucher de-risks the largest slice of rent; it does not turn the tenancy into a no-collections arrangement.

One hard compliance line: you may only collect the tenant rent the PHA has set. Charging the tenant anything on the side, cash to top up to your market rent, an extra fee outside the approved rent, is a side payment, and it is prohibited under the HAP contract. It is one of the fastest ways to get terminated from the program and clawed back. The approved tenant rent on the HAP contract is the ceiling for what that household owes you.

Lease and HAP-contract compliance, and handling tenant issues

A voucher tenancy runs on two documents: your own lease and the HAP contract between you and the PHA, which includes a HUD tenancy addendum that is attached to and overrides any conflicting term in your lease. The addendum locks in tenant protections, defines the approved rent, and sets the grounds and process for ending the tenancy. Read it once, carefully, because where your lease and the addendum disagree, the addendum wins.

Day-to-day, your obligations are ordinary landlord obligations: keep the unit meeting the inspection standard, make repairs, and honor the lease. The tenant's obligations are ordinary too, pay their portion, keep the unit in good condition, follow the lease. The wrinkle is the PHA as a third party. You generally must notify the PHA of lease violations, nonpayment, or any move to terminate, and an eviction of a voucher tenant has to follow both the addendum's good-cause rules and your local landlord-tenant law. You cannot fast-track a removal just because the PHA is involved.

Handle problem tenants the way you would anywhere, with documentation and process, but loop the PHA in early. If a tenant damages the unit or stops paying their share, written notice and a paper trail matter both for your local court and for the PHA. If a tenant moves out or is evicted, notify the PHA promptly so the HAP stops cleanly and you are not later asked to repay payments for a vacant unit.

On fair housing: you must apply the same screening criteria to voucher applicants that you apply to everyone, and never make decisions based on protected class. Note that 'source of income' is not a protected class under federal law, but many states, counties, and cities have passed source-of-income (SOI) laws that make refusing a tenant solely because they hold a voucher illegal in that jurisdiction. Where SOI protection exists, you cannot decline an applicant just for being on Section 8 — and if you apply any income-multiple screen (e.g., 3x rent), apply it to the tenant's share of the rent, not the full contract rent, since applying it to the full rent has been treated as SOI discrimination. Check whether your market has an SOI law and screen consistently regardless.

The honest pros and cons

The case for Section 8 is real and worth stating plainly. The HAP is government-backed, on-time, ACH-direct rent that does not depend on a tenant's job or paycheck, which insulates the largest share of your rent from the economic cycle and from individual tenant hardship. Demand is deep: voucher waitlists in most markets are long, so well-kept units lease quickly and tenants tend to stay, because keeping the voucher and the unit is valuable to them. Turnover and vacancy are often lower than market-rate equivalents. And the income is documentable, which matters for financing, more on that in a moment.

The case against is equally real. You answer to the PHA's bureaucracy: inspections you do not control, recertification paperwork, and a rent-increase process that moves on the agency's calendar, not yours, the rent-increase lag that frustrates owners chasing a hot market. A failed inspection can abate your

HAP until you cure it. The initial approval and first-payment timeline is slower than a cash market tenant. And the program does not eliminate landlord risk: you still collect the tenant portion yourself, still pursue damage and unpaid rent, and still handle evictions under local law plus the addendum.

The honest synthesis: Section 8 trades some control and speed for stability and demand. For a buy-and-hold owner who runs a tight maintenance and paperwork operation, that trade is usually favorable, especially in markets where the voucher rent meets or beats the market rent. For an owner who wants to push rents aggressively every year or hates process, it will grate. Screen markets and individual deals on CloseHound to see where the voucher actually pencils before you commit a unit to the program.

A note on financing: HAP income counts

One underappreciated advantage for investors: the HAP is documentable, verifiable income, and lenders treat it as such. Because the payments are government-funded and come on a contract with a paper trail (the HAP contract plus your bank deposits), they are exactly the kind of income an underwriter likes.

This matters most for DSCR (debt-service-coverage-ratio) loans, where qualification rests on the property's rental income rather than your personal W-2. A voucher unit's HAP, plus the tenant portion, is countable rent for the DSCR calculation, and its stability can make the ratio look stronger and steadier than a comparable market unit with employment-dependent rent. Keep clean records, the HAP contract, payment standard or rent-increase approvals, and bank statements showing the deposits, so you can document the income cleanly when you refinance or acquire the next property.

FAQ

Does the housing authority guarantee my entire rent?

No. The PHA pays and is reliable for the HAP portion only, by direct deposit, usually near the first of the month. The tenant's portion is yours to collect directly from the tenant, just like any rent. If the tenant stops paying their share, the HAP keeps coming but you pursue the tenant balance with the normal tools, late notices, the security deposit, and eviction if necessary. The program also does not cover damage beyond normal wear and tear, so take a deposit and document condition.

How do I raise the rent on a Section 8 tenant?

You request the increase from the PHA in writing, with required notice (often 60-plus days, but it varies, and not during the initial lease term), and it has to be approved before it takes effect. The approval gate is the rent reasonableness test against comparable unassisted units (24 CFR 982.507). The area's payment standard and SAFMR ceiling are a separate figure that governs how much subsidy is paid and how the rent splits between HAP and tenant, not whether the increase is approved — you can charge above it, with the tenant covering the gap. If your number clears the reasonableness test, it's approved, typically on the next anniversary date. The catch is timing: increases move on the PHA's calendar, so submit early or lose a cycle.

How often will the unit be inspected after the tenant moves in?

Expect a periodic re-inspection, commonly at least every other year (biennial), with some small rural PHAs on a longer cycle. HUD has been transitioning voucher inspections from the long-standing HQS to the newer NSPIRE standard, but the rollout has been phased and PHAs adopt on different timelines, so depending on your PHA you may encounter either — both verify the unit is decent, safe, and sanitary. Inspectors focus on

life-safety items, smoke and CO detectors, heating, no peeling paint, working windows and locks (GFCI protection becomes relevant once NSPIRE applies). Failing pauses or abates your HAP until you cure the deficiencies and pass a re-inspection, so do your own walkthrough before the PHA's visit.

Do I legally have to accept a Section 8 voucher?

It depends on where the property is. Source of income is not a protected class under federal law, so there is no nationwide requirement to accept vouchers. But many states, counties, and cities have passed source-of-income (SOI) laws that make refusing an applicant solely because they hold a voucher illegal in that jurisdiction. Check your specific market, and either way, apply the same screening criteria to every applicant and never decide based on a protected class.

Can I count Section 8 / HAP income when I apply for a loan?

Yes. The HAP is government-funded, contract-based, and shows up cleanly in your bank deposits, so it is documentable income that lenders recognize. It is especially useful for DSCR loans, where qualification is based on the property's rental income rather than your personal income; the HAP plus the tenant portion counts as rent in the ratio, and its stability can strengthen the calculation. Keep the HAP contract, rent approvals, and bank statements so you can document it at refinance or acquisition.

A note on this guide

This playbook is general educational guidance, not legal, tax, or financial advice. The Section 8 / Housing Choice Voucher program is administered locally by Public Housing Authorities (PHAs), and specifics — payment standards, timelines, inspection details, and source-of-income rules — vary by jurisdiction. Verify anything that affects a real decision with your local PHA and a qualified professional.

Ready to find a deal that cash-flows on the voucher? Screen live listings against HUD voucher rents at closehound.com — free to start.

